

AKD CAPITAL LIMITED

For the none months ended 31 March 2019

COMPANY INFORMATION

Board of Directors

Mr. Nadeem Saulat Siddiqui

(Chairman)

Mr. Aurangzeb Ali Naqvi

(Chief Executive Officer)

Mr. Aamir Nazir Dhedhi

Mr. Muhammad Jamal Dhedhi

Mr. Muhammad Munir

Mr. Mohammad Sohail

Ms. Mehrunnisa Siddiqui

Company Secretary

Asghar Ali Anjum

Auditors

Riaz Ahmad & Co.

Chartered Accountants

Share Registrar

C&K Management Associates

(Pvt) Limited

Bankers

MCB Bank Limited

United Bank Limited

Bank Al-Habib Limited

Registered Office

618 Continental Trade Center

Main Clifton Road Clifton

Karachi-74000, Pakistan

Tel: (92-21) 35302902 (5 Lines)

Fax: (92-21) 35302913

Audit Committee

Mr. Muhammad Jamal Dhedhi

Mr. Muhammad Sohail

Mrs. Mehrunnisa Siddiqui



AKD Capital Ltd.

Directors' Report

The Board of Directors of your company hereby presents the un-audited financial statements of your Company for the quarter ended 31 March 2019.

During the period the company registered loss after tax of 1.262 million. Even though operating results for the quarter is slightly below as compared to quarter last time. However, the management is exploring other sources of revenues to meet its current expenditure and improve its profitability.

Pakistan's overall economy gaining some momentum and steps recently taken by Government in regards to privatization may benefit the private sector which may kick start the economic activity.

General

The Board of Directors wishes to express its pleasure and gratefulness to the shareholders for their continued support and to all the employees for their ongoing dedication and commitment to the Company.

For and on behalf of the Board

Chief Financial Officer

Karachi: 29 April 2019

AKD CAPITAL LIMITED
Condensed Interim Balance Sheet
as at 31 March 19

	Note	(UnAudited) 31 Mar 2019	(Audited) 30 Jun 2018
		------(Rupees)-----	
ASSETS			
NON-CURRENT ASSETS			
Property and equipment	5	1,627,597	1,725,258
Long term investments		98,000	98,000
Long term deposits		20,000	20,000
		<u>1,745,597</u>	<u>1,843,258</u>
CURRENT ASSETS			
Trade debts - considered good		4,631,944	3,131,944
Advances and prepayments	6	135,814	10,000
Investments	7	31,428,000	27,780,800
Other receivables		4,094,173	4,058,402
Advance income tax		631,685	1,215,488
Bank balances		1,899,776	5,335,327
		<u>42,821,392</u>	<u>41,531,961</u>
TOTAL ASSETS		<u><u>44,566,989</u></u>	<u><u>43,375,219</u></u>
EQUITY AND LIABILITIES			
SHARE CAPITAL AND RESERVES			
Authorized share capital			
50,000,000 (2016: 50,000,000) ordinary shares of Rupees 10 each		<u>500,000,000</u>	<u>500,000,000</u>
Issued, subscribed and paid-up share capital		25,072,733	25,072,733
Reserves		<u>16,150,286</u>	<u>14,426,176</u>
TOTAL EQUITY		<u>41,223,019</u>	<u>39,498,909</u>
NON CURRENT LIABILITIES			
Deferred taxation		87,955	183,375
CURRENT LIABILITIES			
Trade and other payables		1,576,609	1,874,009
Provision for taxation		201,480	341,000
Unclaimed dividend		1,477,925	1,477,925
		<u>3,256,014</u>	<u>3,692,934</u>
TOTAL LIABILITIES		<u>3,343,969</u>	<u>3,876,309</u>
Contingencies and commitments			
TOTAL EQUITY AND LIABILITIES		<u><u>44,566,988</u></u>	<u><u>43,375,218</u></u>

The annexed notes from 1 to 11 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

AKD CAPITAL LIMITED

Condensed Interim Profit and Loss Account (Un-audited)
for the period ended 31 March 19

	Period Year Ended		Quarter Ended	
	31 March	31 March	31 March	31 March
	2019	2018	2019	2018
Note	------(Rupees)-----		------(Rupees)-----	
INCOME				
Consultancy fee	1,500,000	-	-	-
Dividend income	543,200	1,940,000	-	-
Gain on remeasurement of investment at fair value through profit or loss	-	-	-	-
Other income	-	-	-	-
	<u>2,043,200</u>	<u>1,940,000</u>	<u>-</u>	<u>-</u>
EXPENSES				
Administrative expenses	(2,919,580)	(2,814,053)	(814,239)	(794,159)
	<u>(876,380)</u>	<u>(874,053)</u>	<u>(814,239)</u>	<u>(794,159)</u>
Loss on Sale of Investment		-		-
Finance cost	(10,415)	(3,157)	(798)	(1,826)
	<u>(886,795)</u>	<u>(877,210)</u>	<u>(815,037)</u>	<u>(795,985)</u>
PROFIT BEFORE TAXATION				
PROVISION FOR TAXATION				
Current - for the year	(201,480)	(291,000)	-	-
- prior year	(270,000)	41,886	-	-
Deferred	95,420	-	-	-
	<u>(376,060)</u>	<u>(249,114)</u>	<u>-</u>	<u>-</u>
NET PROFIT FOR THE YEAR	<u>(1,262,855)</u>	<u>(1,126,324)</u>	<u>(815,037)</u>	<u>(795,985)</u>
OTHER COMPREHENSIVE INCOME				
Items that will not be reclassified subsequently to profit or loss	-	-	-	-
Items that may be reclassified subsequently to profit or loss:				
Transfer of fair value loss to profit and loss account on disposal of available for sale investment	-	-	-	-
Gain/(Loss) on remeasurement of available for sale investments	3,647,200	2,855,680	5,028,480	5,028,480
Other comprehensive loss for the year	3,647,200	2,855,680	5,028,480	5,028,480
TOTAL COMPREHENSIVE (LOSS) / INCOME	<u>2,384,345</u>	<u>1,729,356</u>	<u>4,213,443</u>	<u>4,232,495</u>
EARNINGS PER SHARE-BASIC AND DILUTED				
9	<u>(0.50)</u>	<u>(0.45)</u>	<u>(0.33)</u>	<u>(0.32)</u>

The annexed notes from 1 to 11 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

DIRECTOR

AKD CAPITAL LIMITED
Condensed Interim Cash Flow Statement (Un-audited)
for the period ended 31 March 19

	31 March 2019	March 31, 2018
	------(Rupees)-----	
CASH FLOW FROM OPERATING ACTIVITIES		
Profit before taxation	(886,795)	(877,210)
Adjustment for non cash items:		
Dividend income	(543,200)	-
Depreciation	159,316	179,651
Impairment loss on available for sale investments	-	-
Operating cash flow before working capital changes	(1,270,679)	(697,559)
Changes in working capital		
(Increase) / decrease in current assets		
Trade debts	(1,500,000)	555,556
Advances and prepayments	(125,814)	(26,194)
Other receivables	(35,771)	431,123
	(1,661,585)	960,485
Increase / (decrease) in current liabilities		
Trade and other payables	(297,400)	(1,627,214)
	(1,958,985)	(666,729)
CASH FLOW FROM OPERATIONS	(3,229,664)	(1,364,288)
Income tax paid	(27,197)	(355,131)
Net cash (used in) / flow from operating activities	(3,256,861)	(1,719,419)
CASH FLOW FROM INVESTING ACTIVITIES		
Additions to property and equipment	(61,655)	-
Dividend income received	543,200	-
Net cash used in investing activities	481,545	-
CASH FLOW FROM FINANCING ACTIVITIES		
Dividend paid	(660,235)	1,383,415
Net cash used in financing activities	(660,235)	1,383,415
NET (DECREASE) / INCREASE IN CASH AND CASH EQUIVALENTS	(3,435,551)	(336,004)
Cash and cash equivalents at the beginning of the year	5,335,326	1,605,313
Cash and cash equivalents at the end of the year	1,899,775	1,269,309

The annexed notes from 1 to 11 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

Statement of Changes in Equity (Un-audited)
for the period ended 31 March 19

	Reserves					Sub total	Total Equity
	Capital Reserves		Revenue Reserves				
	Share capital	Fair value reserve on available for sale investments	General reserve	Accumulated loss			
	Share premium						
Final dividend for the year ended 30 June 2016	-	-	-	-	(1,174,350)	(1,174,350)	(1,174,350)
Total comprehensive income for the year							
Profit for the year	-	-	-	-	798,801	798,801	798,801
Other comprehensive loss							
Gain on re-measurement of available for sale investment	-	-	7,061,600	-	-	7,061,600	7,061,600
	-	-	7,061,600	-	798,801	7,860,401	7,860,401
Balance as at 30 June 2017	25,072,733	20,891,600	1,866,913	752,000	(7,547,631)	15,962,882	41,035,615
Final dividend for the year ended 30 June 2017	-	-	-	-	(589,417)	(589,417)	(589,417)
Total comprehensive income for the year							
Profit for the year	-	-	-	-	1,202,232	1,202,232	1,202,232
Other comprehensive loss							
Gain on re-measurement of available for sale investment	-	-	(2,149,520)	-	-	(2,149,520)	(2,149,520)
	-	-	(2,149,520)	-	1,202,232	(947,288)	(947,288)
Balance as at 30 June 2018	25,072,733	20,891,600	(282,607)	752,000	(6,934,816)	14,426,177	39,498,910
Final dividend for the year ended 30 June 2018	-	-	-	-	-	-	-
Total comprehensive income for the year							
Profit for the year	-	-	-	-	(1,262,855)	(1,262,855)	(1,262,855)
Other comprehensive loss							
Gain on re-measurement of available for sale investment	-	-	3,647,200	-	-	3,647,200	3,647,200
	-	-	3,647,200	-	(1,262,855)	2,384,345	2,384,345
Balance as at 31 March 2019	25,072,733	20,891,600	3,364,593	752,000	(8,197,671)	16,810,522	41,883,255

The annexed notes from 1 to 11 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

Notes to the Condensed Interim Financial Information (Un-Audited)
for the period ended 31 March 19

1. THE COMPANY AND ITS BUSINESS

AKD Capital Limited ("the Company") was incorporated as a Public Limited Company in the year 1936 under Companies Act 1913 (Now the Companies Act, 2017). Shares of the Company are quoted on the Pakistan Stock Exchange. The principle activity of the Company is to deal in real estate / providing consultancy, projects financing and management, investment in listed securities and to engage in leasing.

The registered office of the company is situated at 618, Continental Trade Center, Clifton, Karachi.

2. BASIS OF PREPARATION

These interim financial statements are un-audited and are being submitted to the shareholders in accordance with the requirements of Section Companies Ordinance, 1984. These interim financial statements are presented in condensed form in accordance with the requirements of International Accounting Standard 34 'Interim Financial Reporting'. They do not include all of the information required for full annual financial statements, and should be read in conjunction with the financial statements of the Company as at and for the year ended 30 June 2018. Comparative figures of the balance sheet are extracted from the annual financial statements for the year ended 2018 whereas comparative profit and loss account, statement of changes in equity and statement of cash flows are stated from un-audited condensed interim financial statements for the period ended 30 September 2017.

3. ACCOUNTING POLICIES

The accounting policies and method of computation followed for the preparation of this condensed interim financial information are the same as those applied in preparation of the financial statements for the year ended 30 June 2018.

- 3.1 IAS 1 (Amendment), 'Presentation of Financial Statements'** The amendment clarifies that the potential settlement of a liability by the issue of equity is not relevant to its classification as current or non-current. By amending the definition of current liability, the amendment permits a liability to be classified as non-current (provided that the entity has an unconditional right to defer settlement by transfer of cash or other assets for at least 12 months after the accounting period) notwithstanding the fact that the entity could be required by the counter party to settle in shares at any time. The application of the amendment will not effect the results or net assets of the Company as it is only concerned with presentation and disclosures.

Notes to the Condensed Interim Financial Information (Un-Audited)

for the period ended 31 March 19

4. ESTIMATES

The Preparation of interim financial statements require management to make judgments, estimates and assumption that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates. In preparing this condensed interim financial information, the significant judgments made by the management in applying the Company's accounting policies and the key resources of estimation uncertainty were the same as those that applied to the financial statements as at and for the year ended 30 June 2018.

	31 March 2019 Rupees	June 30, 2018 Rupees
5. FIXED ASSETS		
Opening Written down value	1,725,258	1,964,792
Addition	61,655	-
(Disposals)	-	-
Depreciation	(159,316)	(239,534)
	<u>1,627,597</u>	<u>1,725,258</u>

6. ADVANCES AND SHORT TERM DEPOSITS

Advance to employees - considered good	49,740	10,000
Prepayments	86,074	-
	<u>135,814</u>	<u>10,000</u>

7. AVAILABLE FOR SALE

31 March 2019	30 June 2018 Qty.			
838,080	776,000	Javedan corporation limited - cost	28,063,407	28,063,407
		Effect of re-measurement to fair value	3,364,593	(282,607)
			<u>31,428,000</u>	<u>27,780,800</u>

Notes to the Condensed Interim Financial Information (Un-Audited)
for the period ended 31 March 19

8. CONTINGENCIES AND COMMITMENTS

8.1 CONTINGENCIES

There were no contingencies at reporting date.

8.2 COMMITMENTS

There have been no commitments as at the period

9. EARNING / (LOSS) PER SHARE - BASIC AND DILUTED

There is no dilutive effects in the basic earning per share of the Company which is based on:

	31 March 2019 Rupees	June 30, 2018 Rupees
Profit \ (Loss) for the period	(1,262,855)	1,202,232
Weighted average number of ordinary shares	2,507,471	2,507,471
Earning per share	(0.50)	0.48

10. DATE OF AUTHORIZATION

This condensed interim financial information was authorized for issue on 29 April 2019 by the Board of Directors of the Company.

11. GENERAL

Figure have been rounded off to the nearest rupee.

CHIEF EXECUTIVE OFFICER

DIRECTOR



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